Type MS · Total revenue from direct or indirect taxes

Answer 1 of 4 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** Environmental damage<br><br>A is not correct because MNCs invest in factories and capital equipment in other countries<br>B is not correct because this is an advantage of MNCs<br>C is not correct because MNCs often create new jobs when locating in another country | **(1)** |

| Question Number | Which **one** of the following describes voluntary unemployment?<br>**Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 marks**<br><br>The only correct answer is:<br>**C** Unemployment caused by individuals choosing not to work<br><br>A is not correct because this describes structural unemployment<br>B is not correct because this describes cyclical unemployment<br>D is not correct because this describes seasonal unemployment | **(1)** |

| Question Number | What is meant by the term monetary policy?<br>**Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award up to 2 marks for a correct definition<br><br>Use of interest rates/money supply **(1)** to influence the level of overall demand in the economy **(1)**<br><br>Accept any other appropriate response | **(2)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 1 of 4 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

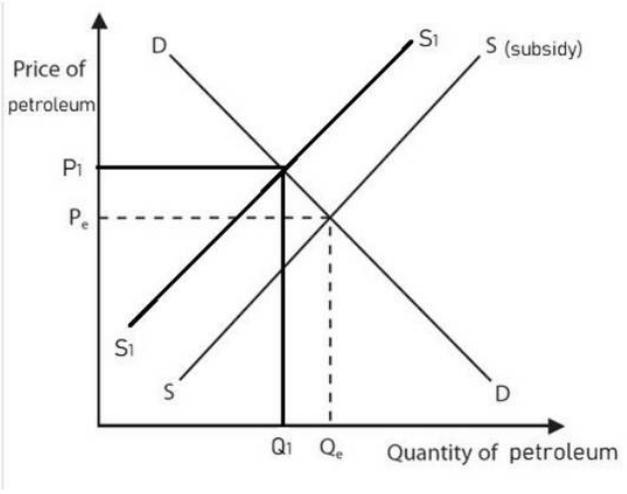
| Question Number | Describe **one** advantage of privatisation for a government. **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to an advantage for a government and 1 mark for development of an advantage for a government<br><br>Generates revenue **(1)** which can help the government to invest in other areas **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working. **Answer** | Mark |
|---|---|---|
| **1(e)** | **A02 2 marks**<br><br>Award 1 mark for selecting indirect taxes from the table<br><br>£14.3bn + £3.7bn + £0.4bn **(1)**<br><br>Award 1 mark for the correct answer<br><br>= £18.4bn **(1)**<br><br>Award 2 marks if the correct answer is £18.4bn even if no calculations are shown<br><br>Award 1 mark if the answer given is 18.4 even if no calculations are shown<br><br>Do not award marks for the formula | **(2)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 1 of 4 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for a leftward shift of supply curve, labelled<br>Award 1 mark for a higher equilibrium price, labelled<br>Award 1 mark for a lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 1 of 4 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

| Question Number | Explain **one** advantage of deregulation for a country such as India.<br>**Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant advantage<br>Award 1 mark for developing the advantage<br>Award 1 mark for the response being in context<br><br>• One advantage is that it can increase competition **(1)**. New telecommunications firms can more easily enter the market and compete with established companies **(1)** which can lead to lower prices/higher quality/more choice for consumers **(1)**<br><br>• One advantage is that it can stimulate economic growth **(1)**. When regulations are reduced, firms pay lower taxes or fees so may have more resources to invest **(1)** which can create jobs and increase economic output **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | With reference to the data above and your knowledge of economics, analyse the advantages for UK firms of the UK joining the CPTPP trading bloc.<br>**Indicative content** | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers<br>• The CPTPP includes countries in the Asia-Pacific region, providing UK firms with access to new markets that they might not have been able to enter before<br>• By joining the CPTPP, the UK firms could benefit from reduced trade barriers, making it easier and cheaper to export goods to member countries<br>• Membership in the CPTPP could help UK firms access skilled labour in other member countries<br>• Membership of the CPTPP could help the UK firms diversify trade relationships beyond Europe, reducing the risk of relying on a single trading partner | **(6)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 1 of 4 · Question 1 part e · 2 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

| Question Number | Which **one** of the following is the calculation for the rate of unemployment in a country?<br>**Answer** | Mark |
|---|---|---|

Type MS · Total revenue from direct or indirect taxes

Answer 2 of 4 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**C** £218.2bn<br><br>A is not correct because this is calculated by Sales tax (VAT) + Income tax<br><br>B is not correct because this figure is calculated by Income tax + Tariffs<br><br>D is not correct because this is calculated by Tariffs + Business tax | **(1)** |

| Question Number | Member countries of a trading bloc agree to<br>Answer | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** trade together with low or no barriers<br><br>B is not correct because countries in a trading bloc can have different rates of income tax<br><br>C is not correct because members can trade with any country outside of the trading bloc<br><br>D is not correct because member countries do not always have common borders | **(1)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 2 of 4 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

| Question Number | Explain **one** advantage of using quotas for a country such as Brazil. Answer | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying an advantage<br>Award 1 mark for developing the advantage<br>Award 1 mark for the response being in context<br><br>• One advantage is domestic producers face less competition **(1)**. By only allowing 600 million litres of ethanol into Brazil **(1)** domestic producers may gain more market share **(1)**<br><br>• One advantage is higher revenue for domestic producers **(1)**. By restricting the amount of ethanol being imported into Brazil to 600 million litres **(1)** domestic producers might be able to increase sales **(1)**<br><br>Accept any other appropriate response | **(3)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 2 of 4 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse why the Slovenian Government might want to increase investment in healthcare. Indicative content |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Healthcare provides medicines and medical treatments to increase the overall health of the nation<br>• The social benefit of providing healthcare to an individual often exceeds the private benefit through immunisation programmes<br>• Investing €3.05bn in healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in Slovenian<br>• This can help to reduce inequality and poverty by enabling the population to work and gain income from being fit and healthy<br>• Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity<br>• This could result in economic growth and therefore help to improve standards of living in Slovenia<br>• Healthcare also provides many jobs for healthcare workers including nurses and doctors which helps to reduce unemployment |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Total revenue from direct or indirect taxes

### Answer 2 of 4 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the likely benefits of economic growth for a country such as Turkmenistan.<br>Indicative content |
|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Economic growth is the increase in the level of output by a nation and is one of the main macroeconomic objectives<br>• Turkmenistan has seen a 6.2% GDP growth rate which could result in an increase in employment levels in the oil and natural gas extraction industries<br>• This is due to firms requiring more workers for production as the economy grows<br>• Figure 4 shows an increase over time of GDP per capita which indicates that people have more income in Turkmenistan<br>• Consumers might be able to purchase more goods and services thereby improving standards of living<br>• Rapid economic growth could also help to reduce poverty in Turkmenistan particularly as over 50% of the labour force work in agriculture<br><br>**AO4**<br><br>• However, not all economic growth is good for an economy<br>• If economic growth is too fast, the Turkmenistan economy may overheat<br>• This could result in demand pull and cost push inflation<br>• Economic growth could also result in more negative externalities such as pollution and waste<br>• Turkmenistan relies heavily on the extraction of finite resources such as oil and gas which may cause a long-run depletion of natural resources<br>• Rapid increases in GDP can lead to a higher level of inequality as the gains from growth may go to only a few people |

## Type MS · Total revenue from direct or indirect taxes

### Answer 2 of 4 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Total revenue from direct or indirect taxes

### Answer 2 of 4 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

| Question Number | Calculate how much **interest, in Yuan (¥)**, Zhang Li received in one year. You are advised to show your working.<br>Answer | Mark |
|---|---|---|

Type MS · Total revenue from direct or indirect taxes

Answer 3 of 4 · Question 3 part a · 1 mark

2021 NOV · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO2 1 mark**<br>The only correct answer is:<br>**B** £321.7bn<br><br>A is not correct because it includes indirect tax<br>C is not correct because it does not include business tax<br>D is not correct because it does not include income tax | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br>The only correct answer is:<br>**D** selling its own currency<br><br>A is not correct because this will increase demand for its currency<br>B is not correct because this will increase demand for your own currency<br>C is not correct because this will cause it to appreciate | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying an advantage<br>Award 1 mark for developing the advantage<br>Award 1 mark for the response being in context<br><br>• One advantage is an increase in exports **(1)**. Subsiding clothing by 4% can make exports more competitive **(1)**. This can result in greater export earnings and improve the current account **(1)**<br><br>• One advantage is more domestic firms may enter the market **(1)**. Subsiding home appliances by up to 10% makes them more price competitive **(1)**. This can result in an increase in employment **(1)**<br><br>Accept any other appropriate response | **(3)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 3 of 4 · Question 3 part a · 1 mark

2021 NOV · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

| Question Number | **Indicative content** |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Taxation can be imposed on activities that damage the environment<br>• Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service<br>• Increasing taxation on petrol and diesel fuel would substantially increase the price of fuel for road users which could reduce the amount of journeys taken by cars and other road vehicles<br>• Increased taxation could also raise additional revenue for the UK Government<br>• This could be used to finance pollution reduction schemes and improve air quality in the UK<br>• Taxation provides a market incentive for firms and consumers to switch to alternative forms of transport that may not cause as much environmental damage |

| **Level** | **Mark** | **Descriptor** |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Total revenue from direct or indirect taxes

### Answer 3 of 4 · Question 3 part a · 1 mark

2021 NOV · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | **Indicative content** |
|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• GDP is the market value of all final goods and services produced in a year<br>• GDP is used to measure economic growth all over the world<br>• This means that comparisons can be easily made between the growth rates of Ghana and different countries over time<br>• Ghana has double the GDP growth rate compared to other emerging economies<br>• GDP is also used as an indicator of a nation's overall standard of living because, generally, a nation's standard of living increases as GDP increases<br>• Ghana was predicted to have a 8.8% GDP growth rate in 2019 and this could indicate an increase in living standards for the population<br><br>**AO4**<br>• However, using GDP to measure growth does have some limitations<br>• Increases in inflation could distort the true rate of economic growth in Ghana and only real GDP figures reflect the true rate of economic growth in an economy<br>• GDP does not include figures for the hidden or informal economy which are not included in GDP figures<br>• GDP does not take into account external costs such as environmental costs and as a result GDP does not measure how these impact on the wellbeing of society<br>• Ghana is becoming heavily reliant on oil which can have many associated external environmental costs<br>• GDP figures do not reflect how additional income is distributed between the population of Ghana and much of the growth may not be evenly distributed amongst the population of Ghana who still may remain in poverty |

## Type MS · Total revenue from direct or indirect taxes

### Answer 3 of 4 · Question 3 part a · 1 mark

2021 NOV · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Total revenue from direct or indirect taxes

### Answer 3 of 4 · Question 3 part a · 1 mark

2021 NOV · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Total revenue from direct or indirect taxes

Answer 4 of 4 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** Developing skills<br><br>A is not correct because this is a disadvantage of MNCs<br>B is not correct because MNCs often cause pollution in other countries<br>D is not correct because MNCs often move profits back to their own countries | **(1)** |

| Question Number | Which **one** of the following is a measurement of gross domestic product (GDP)?<br>**Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Total value of goods and services produced within an economy<br><br>A is not correct because of GDP focuses on the production aspect of goods and services rather than the value traded<br>C is not correct because exports are only a part of the total production within an economy<br>D is not correct because it the value of imports is not used in the calculation of GDP | **(1)** |

| Question Number | What is meant by the term the current account on the balance of payments?<br>**Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 2 marks for a correct definition<br><br>A record of all transactions **(1)** relating to international trade **(1)**<br><br>**OR**<br><br>It is where the total value of exports and imports **(1)** are recorded **(1)**<br><br>Accept any other appropriate response | **(2)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 4 of 4 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

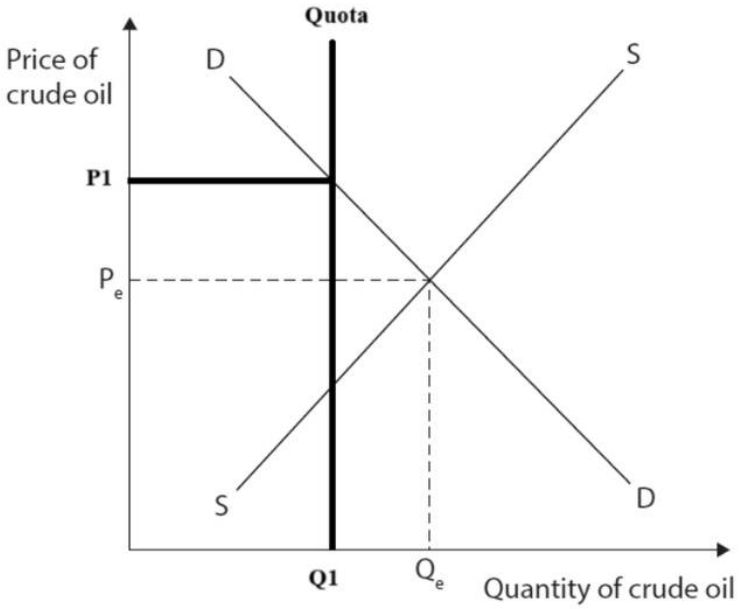
| Question Number | Describe **one** way business activity can damage the environment.<br>**Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to a way and 1 mark for the development of the way<br><br>One way is by air pollution **(1)** due to factories releasing large amounts of greenhouse gases into the air **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|
| **1(e)** | **AO2 2 marks**<br><br>Award 1 mark for selecting direct taxes from the table<br><br>£20bn + £7.6bn **(1)**<br><br>Award 1 mark for the correct answer<br><br>= £27.6bn **(1)**<br><br>Award 2 marks if the correct answer is £27.6bn even if no calculations are shown<br><br>Award 1 mark if £bn is missing i.e. 27.6 with or without calculations shown<br><br>Do not award marks for the formula. | **(2)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 4 of 4 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for a perfectly inelastic supply curve, labelled<br>Award 1 mark for higher equilibrium price, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 4 of 4 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

| Question Number | Explain **one** reason why there may be a link between economic growth and inflation for an economy.<br>**Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is that economic growth can lead to a rise in demand for goods and services **(1).** Due to supply not keeping up with demand **(1)** prices rise/inflation occurs as demand is greater than supply **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | With reference to the data above and your knowledge of economics, analyse the disadvantages to firms in South Africa of being a member of the AfCFTA.<br>**Indicative content** | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Trading blocs are usually groups of countries in specific regions that negotiate preferential trading agreements between themselves with reduced trade barriers<br>• As more firms from different countries in the AfCFTA enter the South African market, domestic firms may face increased competition<br>• Foreign firms may have advantages such as lower costs of production, better technology or greater access to resources which can give them an advantage over domestic firms<br>• This could lead to lower prices and profit margins, making it harder for domestic firms to survive in the market<br>• If South African firms are unable to compete with other firms in the trade bloc they may be forced to close or to reduce their workforce | **(6)** |

## Type MS · Total revenue from direct or indirect taxes

### Answer 4 of 4 · Question 1 part e · 2 marks

2024 JUN · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

| Question Number | What is the likely impact of lower transport and communication costs on an economy?<br>**Answer** | Mark |
|---|---|---|